

I'd already heard about Toys "R" Us from my friend Peter deRoeth, but one trip to the nearest local outlet convinced me that this company knew how to sell toys. If you asked customers if they liked the place, they all seemed to say that they planned to come back.

Before I bought La Quinta, I spent those three nights in their motor inns. Before I bought Pic 'N' Save, I stopped in at one of their stores in California and was impressed with the bargains. Pic 'N' Save's strategy was to take discontinued products out of the regular distribution channels and offer them at fire-sale prices.

I could have gotten that information from investor relations, but it wasn't the same as seeing the brand-name cologne for 79 cents a bottle, and the customers oohing and aahing over it. A financial analyst might have told me about the millions of dollars' worth of Lassie Dog Food that Pic 'N' Save bought from Campbell's Soup after Campbell's got out of the dog-food business, and that Pic 'N' Save promptly resold for a huge profit. But watching the people line up with their carts full of dog food, you could see proof that the strategy was working.

When I visited a Pep Boys outlet at a new location in California, a salesman there almost sold me a set of tires. I only wanted to look the place over, but he was so enthusiastic that I almost had four new tires shipped home with me on the airplane. He could have been an aberration, but I figured with personnel like that, Pep Boys could sell anything. Sure enough, they have.

After Apple computer fell apart and the stock dropped from \$60 to \$15, I wondered if the company would ever recover from its difficulties, and whether I should consider it as a turnaround. Apple's new Lisa, its entry into the lucrative business market, had been a total failure. But when my wife told me that she and the children needed a second Apple for the house, and when the Fidelity systems manager told me that Fidelity was buying 60 new Macintoshes for the office, then I just learned that (a) Apple still was popular in the home market, and (b) it was making new inroads in the business market. I bought a million shares and I haven't regretted it.

My faith in Chrysler was considerably strengthened after my conversation with Lee Iacocca, who made a very bullish case for an auto industry revival, for Chrysler's successful cost-cutting, and for its improved lineup of cars. Outside the headquarters I noticed that the executive parking lot was half empty, another sign of progress. But my real enthusiasm developed in visiting a showroom and getting in and out of new Lasers, New Yorkers, and LeBaron convertibles.

Over the years Chrysler had developed the reputation as the old foggy's car, but from what I saw, it was obvious they were putting more pizzazz into the recent models—especially the convertible. (That one they made by cutting the tops off the regular LeBaron hardtops.)